

Clause 4.20

Security deposit & additional security

3 CASES, CHRONOLOGICAL

SCJ-252 Tehri Girders Limited and another v. Paschimanchal Vidyut Vitran Nigam Limited and others (with R.A. Castings, Sikka Papers and connected petitions) 2009

SCJ-175 M/s Forntier Alloy Steels Ltd. v. Dakshinanchal Vidyut Vitran Nigam Ltd. & 2 Others 2014

SCJ-053 M/S Dev Prayag Paper Mill (Pvt.) & Ors. v. State of U.P. & Ors. (batch of ~90 connected writ petitions) 2017

Tehri Girders Limited and another v. Paschimanchal Vidyut Vitran Nigam Limited and others (with R.A. Castings, Sikka Papers and connected petitions)

Allahabad High Court · Division Bench · 2009 (2009 SCC OnLine All 1262) · 2009 SCC OnLine All 1262 : (2009) 77 ALR 669 : (2010) 1 All LJ 59 : 2010 AIHC 663 · Civil Misc. Writ Petition No. 38 of 2009 (with W.P. Nos. 27186, 24557, 41222 and 32452 of 2009) · **Petitions challenging bank-guarantee demands for additional security allowed; the connected petition on withdrawal of load-factor rebate dismissed (that amount being a due)**

HEADNOTE

Additional security demanded under Section 47 of the Electricity Act, 2003 on enhancement of load is not 'dues' recoverable by any process under the Act or the U.P. Electricity Supply Code, 2005, and therefore Clause 4.49 of the Code (which applies where recovery of 'dues' has been stayed by a court/forum) is not attracted; a licensee cannot demand a bank guarantee under Clause 4.49 for an additional-security amount stayed by the court. Security is in the nature of an advance payment (Ferro Alloys), the relationship being depositor-depositee not debtor-creditor, and 'dues' connotes an amount owed as an enforceable debt; the only consequence of non-payment of additional security is non-release of the additional load and discontinuance of supply, with no recovery process contemplated (Mirzapur Electric Supply). The Court distinguished withdrawal of a load-factor rebate, which does become a 'due' recoverable, and upheld a bank-guarantee demand to that extent.

HOLDING-UNITS

HOLDING-UNIT · UP-2005::4.49

Clause 4.49 not attracted to additional security, which is not 'dues'; no bank guarantee for it

QUESTION

Where a demand of additional security on load enhancement has been stayed, can the licensee demand a bank guarantee for an equal amount under Clause 4.49?

HOLDING

No. Clause 4.49 is attracted only where a court/forum has stayed the 'recovery of any dues'; the condition precedent is that the amount be a due recoverable by some process under the Act or the Code. Additional security is not such a due: its non-payment merely results in non-release of the additional load and discontinuance of supply, with no recovery process provided. Clause 4.49 is therefore not attracted, and the demand of a bank guarantee for the stayed additional-security amount was unjustified; the petitioners are entitled to release of any bank guarantee already furnished.

¶ 11, 19-21, 32, 34

LIMITING FACTS

Load-enhancement applications; additional-security demands stayed by the High Court in separate writ petitions; bank guarantee demanded under Clause 4.43(a)(v) r/w 4.49.

INTERPLAY · EA2003::47

Nature of security: advance payment / depositor-depositee, not a recoverable debt

QUESTION

What is the nature of a security/additional-security deposit under s.47, and can it be treated as a 'due'/arrear recoverable as arrears of land revenue?

HOLDING

Security under s.47 is in the nature of an advance payment of charges (a running current account) - the relationship being depositor-depositee, not debtor-creditor (Ferro Alloys) - and is only an amount demanded as a condition of supply, not owed as an enforceable debt; hence it is not 'dues' and cannot be recovered as arrears of land revenue (Mirzapur Electric Supply, on s.47-A of the 1948 Act). By contrast, a load-factor rebate once given in the bill and later withdrawn does become a 'due', and a bank-guarantee demand for that amount cannot be faulted. ¶ 21, 26-30, 35

LIMITING FACTS

Security/additional security is refundable with interest and adjustable against arrears; non-payment leads only to non-supply; withdrawal-of-rebate amounts distinguished as bill-based dues.

PRINCIPLE TAGS

additional-security-is-not-dues-clause-4.49-not-attracted Additional security is not a recoverable 'due'; Clause 4.49 (stay-of-recovery-of-dues) is not attracted and no bank guarantee for additional security can be demanded. Lead authorities: *Mirzapur Electric Supply Company Limited v. State of U.P.* ¶ 32, 34

security-deposit-is-advance-payment-not-debt A security/additional-security deposit is an advance payment (depositor-depositee), not a debt owed to the licensee, and is not recoverable as arrears of land revenue. Lead authorities: *Ferro Alloys Corporation Limited v. A.P. State Electricity Board.* ¶ 26-29

withdrawn-load-factor-rebate-is-a-recoverable-due A load-factor rebate given in the bill and later withdrawn becomes a 'due', so a bank-guarantee demand for that amount is permissible (unlike additional security). ¶ 35

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — THE VALIDITY OF THE ORDERS WITHDRAWING THE LOAD-FACTOR REBATE

Separate writ petitions challenging the withdrawal of the rebate were pending; the Court expressed no opinion on them, only holding the withdrawn-rebate amount to be a due. ¶ 35

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Ferro Alloys Corporation Limited v. A.P. State Electricity Board</i> 1993 Supp (4) SCC 136 Supreme Court	The true nature of a security deposit is an advance payment of charges (a running current account); the relationship between consumer and licensee is that of depositor and depositee, not debtor and creditor.	Relied on for the nature of security as advance payment, supporting the conclusion that it is not 'dues'. ¶ 26-27	Petitioner	Relied on
<i>Mirzapur Electric Supply Company Limited v. State of U.P.</i> AIR 1975 All 29 Allahabad High Court (Division Bench)	The amount of security demanded is not 'dues' owed as a debt but only an amount demanded as a condition of supply; it cannot be recovered as arrears of land revenue under the U.P. Government Electrical Undertakings (Dues Recovery) Act, 1958.	Relied on / followed as fully covering the issue that security is not 'dues'. ¶ 28-29, 33	Petitioner	Relied on
<i>M.P. State Electricity Board v. Gras Industries Ltd.</i> AIR 2008 SC 433 Supreme Court	Cited on the distinction between security/additional security and dues/arrears.	Referred in support of the petitioners' distinction between security and dues. ¶ 8	Petitioner	Referred
<i>State of Kerala v. V.R. Kalliyankutty</i> (1999) 3 SCC 657 Supreme Court	On the meaning and scope of 'dues' / amounts recoverable.	Referred in support of the petitioners' construction of 'dues'. ¶ 8	Petitioner	Referred

SCJ-252 · Tehri Girders Limited and another v. Paschimanchal Vidyut Vitran Nigam Limited and others (with R.A. Castings, Sikka Papers and connected petitions) · 2009 SCC OnLine All 1262 : (2009) 77 ALR 669 : (2010) 1 All LJ 59 : 2010 AIHC 663 · Supply Code Jurisprudence

A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.

M/s Forntier Alloy Steels Ltd. v. Dakshinanchal Vidyut Vitran Nigam Ltd. & 2 Others

Allahabad High Court · Division Bench · 20 February 2014 · 2014 SCC OnLine All 2727 · Writ - C No. 11083 of 2014 · **Interim order — licensee restrained from demanding additional security pending the petition**

HEADNOTE

Interim order only. A demand for additional security under Clause 4.20 of the U.P. Electricity Supply Code, 2005 was challenged; following an earlier interim order granted in a similar matter (*Supreme Ceramics Limited v. Paschimanchal Vidyut Vitran Nigam Ltd.*), and identical questions being involved in several matters, the Court, without prejudice to the parties' rights and contentions, restrained the respondents from demanding additional security from the petitioner until further orders, and directed the petition be connected and listed with the lead matter. No final view on the validity of the additional-security demand was expressed.

HOLDING-UNITS

HOLDING-UNIT · UP-2005::4.20

Additional-security demand — interim restraint pending adjudication

QUESTION

(Interim) Should the licensee be restrained from enforcing an additional-security demand under Clause 4.20 pending the challenge?

HOLDING

Interim relief granted: following the interim order in the similar *Supreme Ceramics* matter and as identical questions are involved in several cases, the respondents are restrained, without prejudice to the parties' contentions, from demanding additional security from the petitioner until further orders; the petition is to be connected and heard with the lead matter.

¶ (order)

FLAG Interim order only — no final holding on the validity of the Clause 4.20 additional-security demand; connected to the *Supreme Ceramics* batch.

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — VALIDITY OF THE ADDITIONAL-SECURITY DEMAND UNDER CLAUSE 4.20

Not decided; only interim protection was granted pending final hearing along with the connected lead matter. ¶ (order)

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Supreme Ceramics Limited v. Paschimanchal Vidyut Vitran Nigam Ltd.</i> Writ Petition No. 51844 of 2009 (interim order dated 7.10.2009) Allahabad High Court	Interim order restraining demand of additional security under the Code pending adjudication.	Followed for granting identical interim relief; the present petition connected with it. ¶ (order)	Petitioner	Followed

M/S Dev Prayag Paper Mill (Pvt.) & Ors. v. State of U.P. & Ors. (batch of ~90 connected writ petitions)

Allahabad High Court · Division Bench · 21 March 2017 · WRIT - C No. 30898 of 2016 (leading case; batch of ~90 connected writ petitions) · **Writ petitions dismissed; all interim orders discharged**

HEADNOTE

Clause 4.20(l) of the U.P. Electricity Supply Code, 2005 (barring a distribution licensee from requiring security under Section 47(1) if the consumer is prepared to take supply through a prepayment meter, 'as and when' the licensee offers that choice) is not ultra vires Section 47(5) of the Electricity Act, 2003. Section 47(5) is not a free-standing override of Section 47(1)-(4); the words 'subject to the provisions of this section' in Section 47(1) mean the security determination is governed by Section 47 read as a whole, not subservient only to sub-section (5). The exemption from security in sub-section (5) is conditioned on the actual availability of a prepayment meter — the consumer's mere 'preparedness' to take supply through such a meter does not, by itself, denude the licensee of the power to demand security where prepayment meters for the relevant consumer category (here, High Tension consumers) are not manufactured or available in the market; a demand for additional security on account of increased consumption remains valid until such meters become available. Read with Section 55 (which only mandates a 'correct meter', not a prepayment meter), Clause 4.20(l) tracks and does not exceed Section 47(5).

HOLDING-UNITS

HOLDING-UNIT · UP-2005::4.20

Prepayment-meter exemption from security deposit is conditional on availability of the meter; Clause 4.20(l) not ultra vires s.47(5)

QUESTION

Is Clause 4.20(l) of the Supply Code, 2005 — which withholds the prepayment-meter security exemption until the licensee offers the consumer a choice to opt for such a meter — ultra vires Section 47(5) of the Act, 2003, and can an HT consumer avoid a demand for additional security merely by expressing willingness to take supply through a prepayment meter that is not actually available?

HOLDING

No, the clause is intra vires, and no, mere willingness does not suffice. Section 47(5) exempts a consumer from security only where the consumer is 'prepared' to take supply through a prepayment meter, and this preparedness is itself contingent on the actual availability of such a meter; Section 55 separately mandates only a 'correct meter', not a prepayment meter. Since prepayment meters for HT consumption are neither manufactured nor available in the Indian market, the licensee is under no obligation to install one merely on request, and the exemption in Section 47(5) does not arise. Clause 4.20(l) of the Supply Code, which links the exemption to the licensee 'providing a choice to consumer to opt' for a prepaid meter, does no more than track Section 47(5) and is not an independent or additional fetter; it is not ultra vires. Consequently, a demand for additional security on account of increased HT consumption, made while prepayment meters remain unavailable, is valid. ¶ [the Section 47\(5\)/Clause 4.20 discussion \(unnumbered order\)](#)

LIMITING FACTS

A batch of ~90 writ petitions by High Tension consumers challenged demand notices for additional/revised security deposit issued under Clause 4.20 read with s.47, after the consumers had written to the licensee requesting installation of prepaid meters under s.47(5); it was undisputed that prepayment meters for HT consumers were neither manufactured nor available in the market, and none of the petitioners challenged the quantum of the demand or the validity of security under s.47(1) as such.

INTERPLAY · EA2003::47

'Subject to the provisions of this section' in s.47(1) means s.47 read as a whole, not subservient to sub-section (5) alone

HOLDING

The words 'subject to the provisions of this section' in Section 47(1) indicate that the fixation of reasonable security is governed by Section 47 read as a whole; sub-sections (1) and (2) are not made subject to sub-section (5) alone, rejecting

the petitioners' submission (relying on the Black's Law Dictionary meaning of 'subject to' as explained in Saurashtra Chemicals) that sub-section (5) overrides sub-sections (1)-(4). ¶ the 'subject to' discussion (unnumbered order)

PRINCIPLE TAGS

prepayment-meter-exemption-conditional-on-availability The s.47(5)/Clause 4.20(1) security exemption for consumers willing to take supply through a prepayment meter operates only once such meters are actually available for that consumer category; unavailability (as for HT consumers) leaves the licensee's ordinary power to demand security under s.47(1)-(4) intact. Followed and agreed with the Telangana/AP High Court's parallel ruling in *Sarwottam Ispat. Lead authorities: Sarwottam Ispat Ltd. v. Southern Power Distribution Company of Telangana Ltd. & Ors.* [3799508].
¶ the Sarwottam Ispat discussion (unnumbered order)

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — WHETHER THE ABSENCE OF REGULATIONS UNDER SECTION 181 (AS OPPOSED TO THE SUPPLY CODE) RENDERS THE DEMAND FOR SECURITY WITHOUT AUTHORITY OF LAW

Not examined in detail — raised only in oral submissions, not pleaded in any of the writ petitions, and in any event the Supply Code was held to cover the field that regulations would otherwise have addressed. ¶ unnumbered order

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Sarwottam Ispat Ltd. v. Southern Power Distribution Company of Telangana Ltd. & Ors.</i> 2016 (6) ALD 162 [3799508] High Court of Judicature at Hyderabad (DB)	Where pre-paid meters are not installed, it is mandatory for consumers to pay the security deposit demanded; a request for a prepaid meter when none is available does not entitle the consumer to a waiver, and Section 47 does not envisage waiver or an alternative mode of security (e.g. bank guarantee) enforceable by writ.	Followed and agreed with in full (the same Chief Justice had been a member of that Division Bench). ¶ the Sarwottam Ispat discussion (unnumbered order)	Court	Followed
<i>Commissioner of Central Excise, Bhavnagar v. Saurashtra Chemicals Ltd.</i> (2007) 10 SCC 352 [1218178] Supreme Court	The expression 'subject to' denotes a limitation — 'governed or affected by', 'provided that' — citing <i>Ashok Leyland Ltd. v. State of T.N.</i> and <i>Black's Law Dictionary</i> .	Relied on by the petitioners for the proposition that s.47(5) overrides s.47(1)-(4); the Court accepted the dictionary meaning but held it supported the opposite conclusion — that s.47(1) is governed by s.47 as a whole, not subservient to s.47(5) alone. ¶ the 'subject to' discussion (unnumbered order)	Petitioner	Distinguished
<i>United India Insurance Co. Ltd. v. Lehu & Ors.</i> (2003) 3 SCC 338 [726134]	(Cited alongside <i>Saurashtra Chemicals</i> in support of the petitioners' 'subject to' argument.)	Relied on by the petitioners; rejected along with <i>Saurashtra Chemicals</i> for the same reasons. ¶ the 'subject to' discussion (unnumbered order)	Petitioner	Distinguished

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
Supreme Court				
<i>Chandra Kumar Shah & Anr. v. The District Judge & Ors.</i> AIR 1976 All 328 [1941349] Allahabad High Court (FB)	The power to frame regulations/rules cannot be read as a source of authority to enact independent legislation or impose obligations not otherwise envisaged by the parent Act.	Cited by the petitioners in support of a contention (that Clause 4.20 exceeds the s.181 regulation-making power) which the Court declined to examine in detail as it was not pleaded and was raised only in oral submissions. ¶ the regulation-making-power discussion (unnumbered order)	Petitioner	Referred
<i>Bharathidasan University & Anr. v. All-India Council for Technical Education & Ors.</i> (2001) 8 SCC 676 [1384523] Supreme Court	(Same proposition as Chandra Kumar Shah — regulation-making power is not a source of independent legislative authority.)	Cited to the same effect; not examined in detail for the same reason. ¶ the regulation-making-power discussion (unnumbered order)	Petitioner	Referred

SCJ-053 · M/S Dev Prayag Paper Mill (Pvt.) & Ors. v. State of U.P. & Ors. (batch of ~90 connected writ petitions) · · Supply Code Jurisprudence

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Clause 6.9

Assessment & billing procedure (r/w s.126, Electricity Act 2003)

2 CASES, CHRONOLOGICAL

SCJ-039 Kanpur Electricity Supply Co. Ltd. & Anr. v. U.P. Electricity Regulatory Commission
& Ors. 2011

SCJ-084 Mohd Usman Ansari v. Chairman, Uttar Pradesh Power Corporation Ltd. & 4 Others
2025

Kanpur Electricity Supply Co. Ltd. & Anr. v. U.P. Electricity Regulatory Commission & Ors.

Allahabad High Court · Single Judge · 22 November 2011 · WRIT - C No. 70240 of 2010 · **Writ petition dismissed with Rs. 5,000 costs (frivolous)**

HEADNOTE

The installation of an air conditioner (or use within the contracted load) is not 'unauthorised use' of electricity assessable under Section 126 of the Electricity Act, 2003; para 6.9 of the U.P. Electricity Supply Code, 2005 makes clear that excess load is not covered by Section 126. The proper charge is the additional Fixed Charge prescribed in the tariff (here, for air conditioners for the April-September period), not a twelve-month theft/unauthorised-use assessment. The Consumer Grievance Redressal Forum and the Ombudsman rightly held Section 126 inapplicable and permitted only supplementary Fixed-Charge bills; the licensee's writ challenging that was frivolous.

HOLDING-UNITS

HOLDING-UNIT · UP-2005::6.9

Excess load / appliance installation is not 'unauthorised use' under Section 126

QUESTION

Can the installation of air conditioners (excess load) be assessed as unauthorised use under Section 126, or is the remedy an additional Fixed Charge under the tariff?

HOLDING

It is not Section 126 unauthorised use. Para 6.9 of the Code provides that excess load is not covered by Section 126; the use of an air conditioner is not prohibited but attracts an additional Fixed Charge under the tariff (Rs. 150 per ton, April-September). The CGRF/Ombudsman rightly disallowed the Section 126 assessment and permitted only supplementary Fixed-Charge bills. ¶ 5-7

LIMITING FACTS

On checking, air conditioners were found connected to three connections; there was no allegation of theft, no load in excess of the contracted load, and no MRI-based finding — the demand was tied only to the AC installation.

PRINCIPLE TAGS

excess-load-not-unauthorised-use

Excess load or appliance installation within/around the contracted load is not 'unauthorised use' under Section 126 (para 6.9 of the Code); the remedy is the tariff's additional Fixed Charge, not a theft/UUE assessment. ¶ 7

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>State of U.P. v. Suresh Kumar</i> Writ Petition No. 506 (S/B) of 2011 (Allahabad HC, DB) [157762969] Allahabad High Court (DB)	The State and its instrumentalities should refrain from filing frivolous petitions that waste the Court's time.	Referred to deprecate the licensee's frivolous writ petition. ¶ 7	Court	Referred
<i>State of U.P. v. Brij Bhushan Sharma</i> Writ Petition No. 474 (SB) of 2011 (Allahabad HC, DB) [1276201] Allahabad High Court (DB)	The practice of the State filing frivolous writ petitions challenging tribunal orders is deprecated.	Referred to the same effect in imposing costs. ¶ 8	Court	Referred

A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.

Mohd Usman Ansari v. Chairman, Uttar Pradesh Power Corporation Ltd. & 4 Others

Allahabad High Court · Division Bench · 5 August 2025 · 2025:AHC:131084-DB · WRIT - C No. 23421 of 2025 · **Writ petition disposed of; opportunity of hearing directed, final assessment within 12 weeks, no coercive recovery meanwhile**

HEADNOTE

Where a recovery certificate under s.9 of the U.P. Government Electrical Undertakings (Dues Recovery) Act, 1958 is issued in pursuance of an ex-parte provisional assessment under s.126(1)/(2) of the Electricity Act, 2003 read with Clauses 3.1, 3.7, 6.1, 6.8 and 6.9 of the U.P. Electricity Supply Code, 2005, without a formal adjudication/hearing, the consumer is entitled to an opportunity of hearing before a final assessment is made; pending such final assessment (to be completed within 12 weeks), no coercive recovery measures may be taken.

HOLDING-UNITS

HOLDING-UNIT · UP-2005::6.8

A recovery certificate founded on an ex-parte provisional s.126 assessment, issued without following the Supply Code's assessment procedure, entitles the consumer to a hearing and a reasoned final assessment before coercive recovery

QUESTION

Can a recovery certificate under s.9 of the 1958 Dues Recovery Act be enforced where it is founded on an ex-parte provisional assessment under s.126, made without following the Supply Code's assessment/hearing procedure?

HOLDING

The Court directed that an opportunity of hearing be granted to the petitioner, with a final assessment to be carried out by the authorities within 12 weeks; until the final assessment order is passed, no coercive recovery measures may be taken against the petitioner. ¶ paras 3-4

LIMITING FACTS

Recovery Certificate dated 17.1.2025 for Rs. 6,38,679/- plus collection charges was issued under s.9 of the 1958 Act pursuant to a demand notice dated 30.7.2020 based on an ex-parte provisional assessment under s.126(1)/(2) of the Electricity Act, 2003, without formal adjudication under the Supply Code.

PRINCIPLE TAGS

ex-parte-s126-assessment-requires-hearing-before-recovery

A recovery certificate founded on an ex-parte provisional s.126 assessment, made without following the Supply Code's assessment/hearing procedure, cannot be coercively enforced until the consumer is given a hearing and a reasoned final assessment is passed. ¶ paras 3-4

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — CORRECTNESS/QUANTUM OF THE UNDERLYING ELECTRICITY DUES (RS. 6,38,679/-)

Not decided; to be determined by the final assessment after a hearing. ¶ para 3